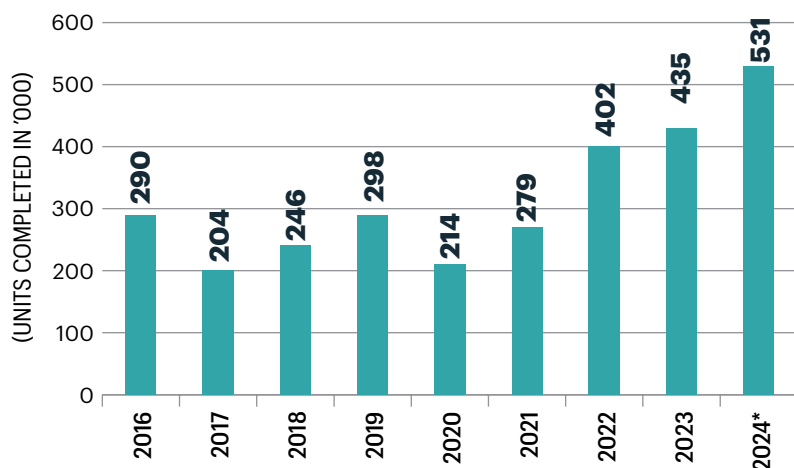


Limited Homes

● **DEMAND:** A government report in 2012 estimated a housing shortage of 18.8 million in Indian cities

● **SUPPLY:** 531,470 units expected to be completed in top 7 cities by 2024 end



*FORECAST **SOURCE** BT RESEARCH, ANAROCK RESEARCH

Anarock, which revealed millennials considered real estate the best investment option.

Real estate is considered a safe and lucrative investment option. However, additional demand drives prices further up, pushing out genuine first-time buyers. Low interest rates have made home loans more accessible, leading to bidding wars and inflated property values.

According to regulatory body National Housing Bank's (NHB) annual report on the trend and progress of housing in India in 2023, "The demand for residential housing is driven by rapid urbanisation, growing disposable incomes, initiatives on affordable housing like Pradhan Mantri Awas Yojana-Urban (PMAY-U), stamp duty concessions, etc. Despite the 250-bps increase in repo rate between 2022 and 2023, the demand for residential housing has remained strong."

As such, the outstanding individual housing loan of primary

lending institutions (housing finance companies, public sector banks, and private sector banks) registered an on-year growth of 14.88% in March 2023. For the same period, individual housing loan disbursement by primary lending institutions grew by 19.88%, per the NHB report. The report suggests a rising demand for housing in the years ahead. "As demand is higher than supply, there won't be any sign of correction in real estate prices in at least the next 18-24 months," says Gunjan Goel, Director, Goel Ganga Developments, a real estate firm.

The PMAY-U scheme provided interest rate subsidies on home loans for eligible beneficiaries, significantly reducing the overall loan cost, and making it affordable for millennials with lower incomes.

On the flip side, young people can also get bigger loan payment tenure and face stagnant wages, particularly in the early stages of their careers. The rising cost of liv-

Housing Dream

Millennials are struggling to get their share in real estate. It's a challenge that many face, and it's important to acknowledge this

1 India has the largest millennial population at 440 million (34% of total population)

2 Migrant professionals inflate housing prices in major cities like Delhi-NCR, Mumbai, Bengaluru

3 Stagnant wages and rising living costs have squeezed millennial home ownership dreams

4 There are no immediate or even mid-term prospects of price corrections, experts say

5 Millennials should understand that home ownership is a jump, not a wait

6 When investing in property, plan for spaces keeping the next six to eight years in mind